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European Equity Strategy | Europe

Mapping Europe's Potential
China Anti-Involution Exposure

In an extensive collaboration across EU/China equity strategy, Global commodity strategy and 21 EU/China sector teams, we map out Europe's potential exposure to China's anti-involution reforms. We find impacts on European equities are idiosyncratic and gradual, with only select stocks across Steel, Coal, Refiners, Chemicals & Autos potentially benefiting.

What is China's "Anti-Involution" initiative? In recent years, the concept of "involution" (*nei juan*, or excessive competition) has permeated Chinese society. Recognising the challenge of this phenomenon to growth sustainability and societal well-being, China's top leadership started an "anti-involution" initiative in July 2024 and recently [upped the ante](#) to strategically address entrenched deflation, overcapacity, and hyper-competition across key sectors. **We work alongside our China equity strategists to analyse the potential impact of anti-involution.** See the accompanying report: [Anti-Involution – Priority, Progress and Potential: Market, Sector and Stock Implications](#). Overall, our China team's base case is for gradual reflation on measured policy execution.

A cross-sector, cross-regional deep dive: Given the complexity and embedded sector nuances of China's anti-involution reforms, a simplistic look at EU equities' China revenue exposures does not serve as a good guide on potential implications. We collaborate across 6 European and 15 China sector teams, as well as our China equities and global commodity strategy teams, to map Europe's possible exposure to this theme. We also highlight relevant EU management commentary.

Domestically oriented, multi-year reforms = more limited European exposure. According to our China equities strategists, the sectors best positioned to benefit are primarily domestically oriented, e.g. EV batteries, cement and airlines. In Europe, our analysts identify possible longer-term beneficiaries, ranked in order of possible impact: **1) M&M (Coal, Steel), 2) Refiners, 3) Chemicals and 4) Autos**. However, the impact for Europe is not exclusively positive, with our **CapGoods** and **Utilities** teams highlighting medium-to-longer term risks in select pockets.

We identify 12 potential longer-term stock beneficiaries - Exhibit 11. This group of stocks has recently outperformed the broader European market. However, our analysis points to longer-term upside for now, with limited near to medium-term fundamental earnings impact. Key signposts that could turn us more positive on the European read-across: a more aggressive and coordinated policy push, including a revamp of local government incentives and effective countercyclical growth management to curb inefficient investment. As far as **potential risks**, we flag two European Capital Goods names and one Solar stock as potentially negatively exposed in the medium to long-term.

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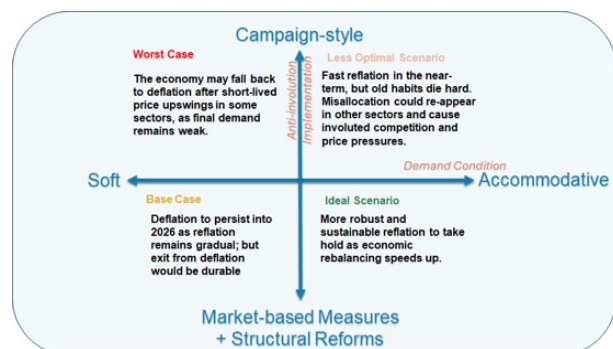
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Key Charts

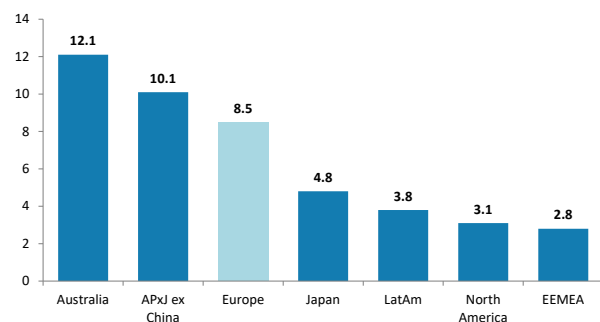
Exhibit 1: Our China equity strategists see four possible anti-involution policy & resulting reflation pathways...



Source: Morgan Stanley Research

Exhibit 3: Europe has one of the highest revenue exposures to China among major global regions

Global Regions/Markets: Revenue Exposure to China (%)



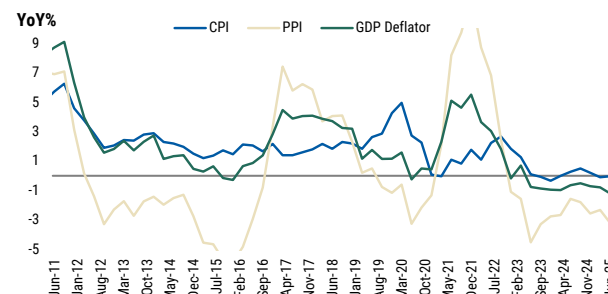
Note: Universe is based on MS Research Coverage; Source: LSEG Data & Analytics, Company Data and Morgan Stanley Research

Exhibit 5: Possible longer-term impacts of China's anti-involution policy across European sectors & stocks

	China View	European View	MS Covered European
	Likelihood of Success	Potential Impact	Stocks Exposed
Materials			
Steel	High	Low*	ArcelorMittal, voestalpine Glencore
Coal	High	Medium	
Cement	Medium	na	Aurubis, Boliden
Float Glass	Medium	na	
Smelters	na	Low	
Energy			
Refining	Medium	Low	Repsol
Chemicals			
Chemicals	Medium	Low	BASF, Arkema, Evonik, Solvay
Autos			
Auto & Auto Parts	Medium	Low	BMW, Mercedes
EVs	Medium	na	
Industrials			
Cap Goods	na	Low	Atlas Copco, Siemens (-ve impact)
Utilities			
Solar Power	Medium	Neutral	Solaria (slight -ve impact)
Transportation			
Airlines	High	na	Express Delivery
Express Delivery	Medium	na	

Note: *Steel dynamics are more nuanced, influenced by the pace of output curtailments vs demand decline, which has - thus far - led to growing exports. This has largely neutralized the impact of output reduction; Source: Morgan Stanley Research

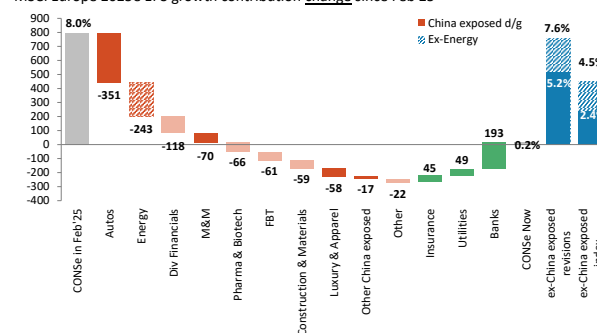
Exhibit 2: ...amid entrenched deflation in China



Source: CEIC, Morgan Stanley Research

Exhibit 4: Even more impactful, EU sectors with high China revenues and/or China competition exposure have driven 65% of the Europe's negative earnings revisions for this year

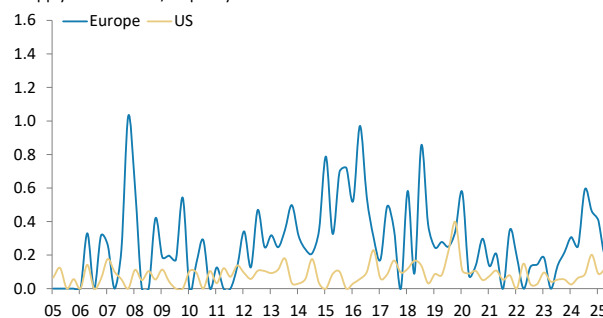
MSCI Europe 2025e EPS growth contribution change since Feb'25



Source: LSEG Data & Analytics, FactSet, MSCI and Morgan Stanley Research

Exhibit 6: So far the China Anti-Involution theme has received little attention in Europe or the US during 2Q25 earnings calls

% of corporate transcripts mentioning "Chinese Anti-Involution / Anti-Dumping / Supply Side Reform / Capacity Rationalisation"



Note: Quarterly number of transcripts reduces over long-term history e.g. 2009 sample size at half of current levels; all metrics are a proportion of relevant sample size at the time; universe is stocks with > \$500m market cap; searches are inclusive of synonyms Source: AlphaSense, Morgan Stanley Research

European Equity Strategy View

Matthew Nguyen, Marina Zavolock, Regiane Yamanari

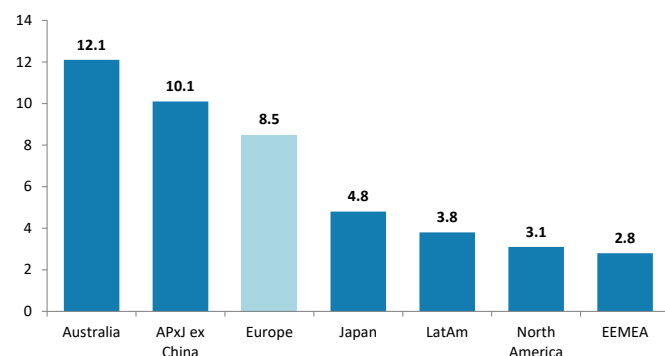
Impact of China's Anti-Involution policy on Europe not broadbased, but rather nuanced, gradual and long-term. While it's true Europe has among the highest revenue exposure and correlation to China among major global regions ([Exhibit 3](#) and [Exhibit 8](#)), only select pockets will see tailwinds from China's anti-involution policy, albeit with relatively low impact at a gradual and measured pace. The following European sectors, in order of priority, could see a positive long-term impact: **1) M&M, 2) Refiners, 3) Chemicals, 4) Autos.** According to our [China Equity Strategists](#), the current China anti-involution policy measures are more targeted towards domestically oriented sectors, i.e. EV batteries, cement and glass, and will have relatively limited implications for global peers. We also note that this theme has received little attention in Europe or the US during 2Q25 earnings calls ([Exhibit 6](#)). See the [latter section](#) for European corporate transcripts mentioning 'anti-involution'.

Winners not defined by China exposure alone. It's not as simple as looking at a pure percentage share of revenues or correlations to China ([Exhibit 9](#) and [Exhibit 10](#)) to identify potential winners from China anti-involution. For example, European Luxury is highly dependent on China's consumer demand, which is unlikely to see a meaningful boost in the near term. Similarly, European Semiconductors are to face steeper competition, as China seeks to triple its AI chips output (see [FT article](#)). Another example is European Cap Goods, which may be negatively impacted if downward pressure on China capex spending picks up, suppressing the industrial recovery further into 2026. Meanwhile, China's anti-involution policies are likely to drive only a modest increase in European solar capex, implying a broadly neutral impact on European utilities.

Commodities as the residual beneficiaries. In the M&M space, raw material prices and downstream processing fees have seen a sharp rebound, however our M&M analysts believe bolder policy action may be required for a sustained re-rating of the sector. Meanwhile, European refiners could benefit if efforts to phase out China's teapot refineries accelerate, though past attempts have had limited success. As for Chemicals, capacity closures are currently focused on older plants, while new capacity addition remains intact, leaving fundamentals oversupplied. Finally, competition in the China auto sector is beginning to ease, but any meaningful improvements are likely to emerge only in the medium-term. We provide below a list of Europe's potential longer-term beneficiaries identified by our sector analysts should China's anti-involution measures begin to gain meaningful traction. However, anti-involution is not exclusively positive, with our Cap Goods and Utilities teams also highlighting a few potentially disadvantaged names - both lists are shown in [Exhibit 11](#).

Exhibit 7: Europe has one of the highest revenue exposures to China among major global regions...

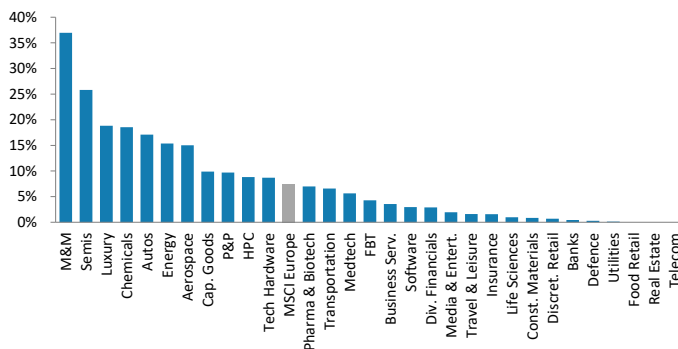
Global Regions/Markets: Revenue Exposure to China (%)



Note: Universe is based on MS Research Coverage; Source: LSEG Data & Analytics, Company Data and Morgan Stanley Research

Exhibit 9: M&M, Semis, Luxury, Chemicals and Autos have the highest revenue exposure to China...

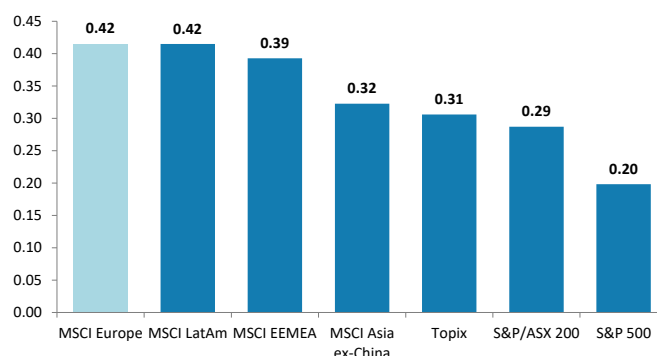
Estimated % 2025e China revenue exposure (FF MCap Weighted)



Note: Discretionary Retail is ex-Prosus; Source: LSEG Data & Analytics, Company Data and Morgan Stanley Research

Exhibit 8: ...and has the highest correlation to Chinese equities

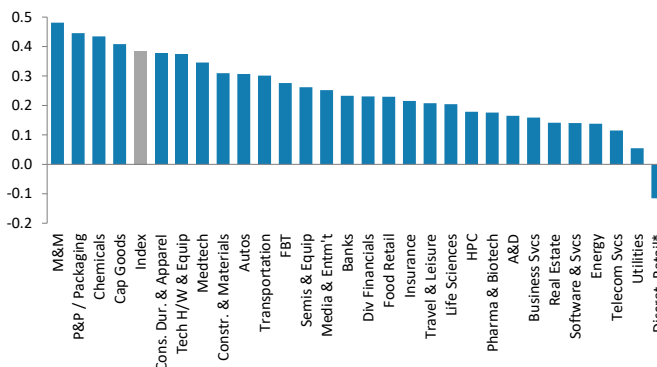
Global Regions/Markets: 2-Year Correlation to MSCI China (USD)



Note: Correlations based on weekly changes; Source: LSEG Data & Analytics and Morgan Stanley Research

Exhibit 10: ...while the most correlated EU industries to MSCI China are M&M, P&P / Packaging, Cap Goods and Tech Hardware

MSCI Europe: 2Y Correlation to MSCI China by Industry (LC)



Note: Correlations based on weekly changes; Source: LSEG Data & Analytics and Morgan Stanley Research

Exhibit 11:

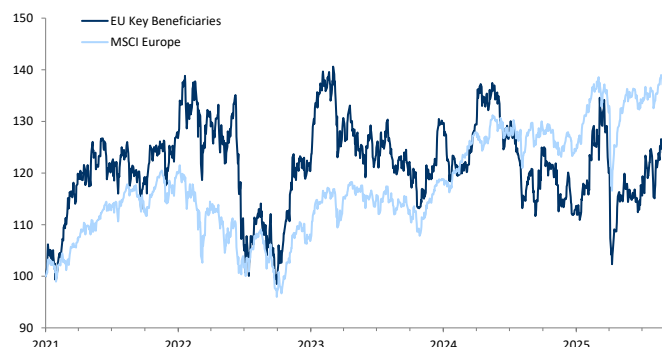
China Anti-Involution - Europe's potential longer-term beneficiaries and potentially disadvantaged stocks according to our analysts

BBG	Sector	MS Analyst	MS Rating	Last Price (LC)	Upside to PT	China rev. exposure (%)	2Y Correl. to MSCI China	Cons. NTM Valuations			10Y Percentile (0-100)				Cons. EPS Growth		
								P/E	P/BV	DY	P/E	P/BV	DY	Avg	2025	2026	
Potential Longer-term Beneficiaries																	
GLEN LN	Glencore	M&M / Coal	Alain Gabriel	OW	2.92	26.6%	46%	0.35	15.1	1.2	3%	83%	47%	83%	71%	(54.4%)	137.1%
MT NA	ArcelorMittal	M&M / Carbon Steel	Alain Gabriel	EW	28.46	5.4%	1%	0.40	7.6	0.5	2%	62%	53%	61%	59%	33.7%	16.5%
VOE AV	Voestalpine	M&M / Carbon Steel	Alain Gabriel	OW	28.30	(9.5%)	8%	0.43	11.1	0.6	3%	72%	34%	87%	64%	124.5%	49.3%
NDA GY	Aurubis	M & M / Smelters	Ioannis Masvoulas	EW	97.00	(7.2%)	10%	0.28	14.6	0.8	1%	96%	42%	100%	80%	(13.0%)	11.1%
BOL SS	Boliden	M & M / Smelters	Ioannis Masvoulas	UW	325.80	(12.5%)	5%	0.55	11.9	1.2	3%	77%	7%	84%	56%	(40.0%)	44.0%
REP SQ	Repsol	Energy / Refining	Guilherme Levy	OW	14.01	2.8%	16%	0.31	6.0	0.6	7%	36%	33%	27%	32%	(17.8%)	6.4%
AKE FP	Arkema	Chemicals	Thomas Wrigglesworth	OW	60.60	55.1%	18%	0.50	9.2	0.6	6%	24%	1%	2%	9%	(29.4%)	21.4%
BAS GY	BASF	Chemicals	Thomas Wrigglesworth	OW	45.36	19.0%	13%	0.41	14.6	1.1	5%	71%	30%	50%	50%	(23.5%)	24.2%
EVK GY	Evonik	Chemicals	Thomas Wrigglesworth	UW	16.49	7.9%	8%	0.36	11.1	0.8	7%	19%	12%	1%	11%	(17.9%)	13.1%
SOLB BB	Solvay	Chemicals	Thomas Wrigglesworth	EW	28.10	6.8%	6%	0.30	8.4	2.2	9%	25%	92%	4%	40%	(22.0%)	7.3%
BMW GY	BMW	Autos	Javier Martinez	OW	89.46	(5.0%)	40%	0.36	7.8	0.6	5%	68%	14%	54%	45%	(6.5%)	8.4%
MBG GY	Mercedes	Autos	Javier Martinez	OW	53.35	20.0%	18%	0.28	8.0	0.5	6%	79%	6%	55%	47%	(41.6%)	18.2%
Average						9.1%	16%	0.38	10.5	0.9	5%	59%	31%	51%	47%	(9.0%)	29.8%
Potentially Disadvantaged Stocks																	
ATCOA SS	Atlas Copco	Cap Goods	Michael Harleaux	EW	151.00	2.0%	21%	0.41	25.7	5.8	2%	62%	24%	44%	43%	(8.3%)	7.7%
SIE GY	Siemens	Cap Goods	Max Yates	OW	236.60	4.0%	12%	0.11	20.6	3.1	2%	100%	99%	100%	100%	8.4%	3.4%
SLR SM	Solaria	Utilities / Solar	Arthur Sitbon	EW	13.84	(27.7%)	0%	0.11	17.1	2.3	0%	29%	19%	na	24%	22%	(0.8%)
Average						(7.3%)	11%	0.21	21.2	3.7	2%	64%	47%	72%	56%	7.3%	3.4%
MSDLE15 MSCI Europe					2,197.70	2.4%	7%	0.42	14.7	2.1	3%	63%	99%	82%	81%	0.2%	12.5%

Source: FactSet, IBES, LSEG Data & Analytics and Morgan Stanley Research

Exhibit 12: Europe's key beneficiaries of China anti-involution policy have recently outperformed MSCI Europe...

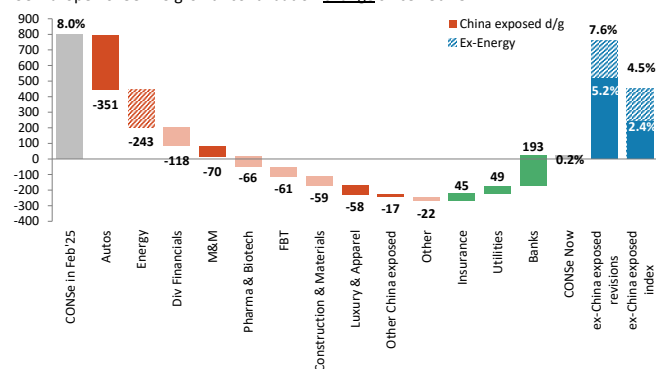
EU Key Beneficiaries of China Anti-Involution: Performance (LC, Rebased)



Note: EU Key Beneficiaries' performance is equal-weighted; Source: FactSet, LSEG Data & Analytics and Morgan Stanley Research

Exhibit 14: ...we are sceptical of this, given the earnings downgrades we've seen to China-exposed sectors for 2025...

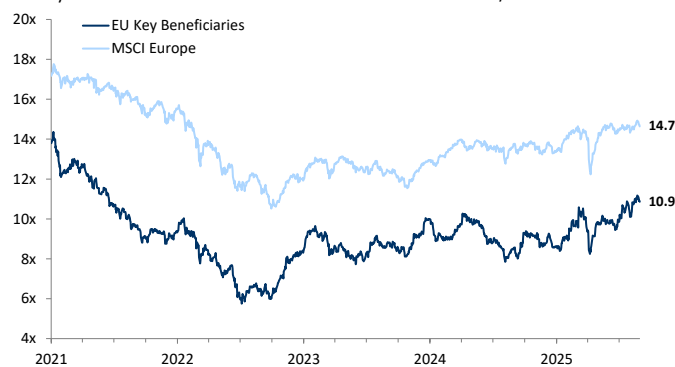
MSCI Europe 2025e EPS growth contribution change since Feb'25



Source: LSEG Data & Analytics, FactSet, MSCI and Morgan Stanley Research

Exhibit 16: EU key beneficiaries of anti-involution policy trade at a discount to MSCI Europe, but have recently narrowed the gap...

EU Key Beneficiaries of China Anti-Involution: Consensus NTM P/E



Source: LSEG Data & Analytics, FactSet, MSCI and Morgan Stanley Research

Exhibit 13: ...but for this to remain sustainable, weak earnings trends have to reverse...

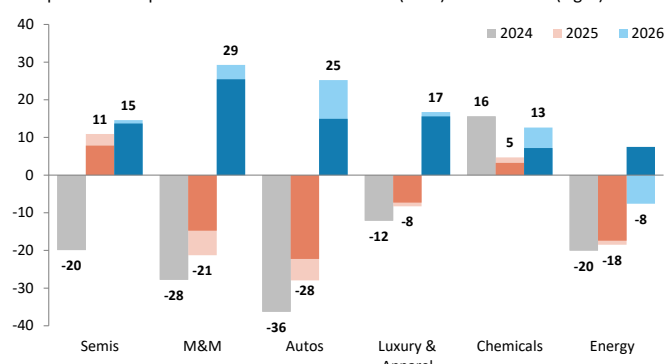
EU Key Beneficiaries of China Anti-Involution: LC Rel. Performance & NTM EPS vs MSCI Europe (LC, Rebased)



Note: EU Key Beneficiaries' performance and EPS are equal-weighted; Source: FactSet, IBES, LSEG Data & Analytics and Morgan Stanley Research

Exhibit 15: ...while consensus earnings growth expectations for 2026 remain too optimistic, in our view

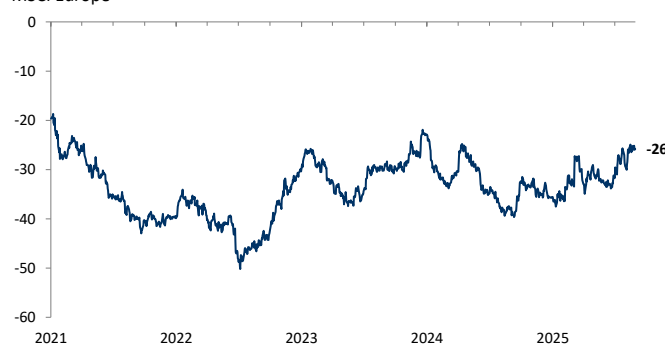
Europe's China-exposed sector: EPS Growth - MSe (Dark) vs Consensus (Light)



Source: LSEG Data & Analytics, FactSet, MSCI and Morgan Stanley Research

Exhibit 17: ...but further re-rating will require bolder policy actions from China, we think

EU Key Beneficiaries of China Anti-Involution: Discount on NTM P/E vs MSCI Europe



Source: LSEG Data & Analytics, FactSet, MSCI and Morgan Stanley Research

Metals & Mining

Alain Gabriel, Ioannis Masvoulas, Adahna Ekoku

At a July 1 meeting of the Central Financial and Economic Affairs Commission, China explicitly called out 'disorderly price competition,' directing regulators to promote orderly exits of outdated production capacity and to curb 'unproductive rivalry' across key sectors. This has underpinned a sharp rebound in certain raw material prices and downstream processing fees perceived as key beneficiaries of this policy shift. This newfound 'hope' has come against the backdrop of deepening deflation and falling industry returns driven by China's relentless domestic supply growth (e.g. coal) and intensifying competition (e.g. copper smelting, steel, alumina refining) vs a soft demand backdrop.

While some concrete actions have been taken towards attaining these policy objectives, such as the announced coal mine inspections, our economists see these reforms as being more complex and less potent than the previous ones (see the report [Can China's Anti-Involution Drive Deliver?](#)). Their durability is highly dependent on 'arduous structural reforms' and a revamped tax system. As such, incremental re-rating may require bolder policy action, which remains elusive for now. However, should this occur, Metals & Mining equities best placed to benefit include Glencore (via its coal and smelting exposure), Carbon Steel equities (ArcelorMittal and voestalpine preferred plays), and European Smelters such as Aurubis and Boliden.

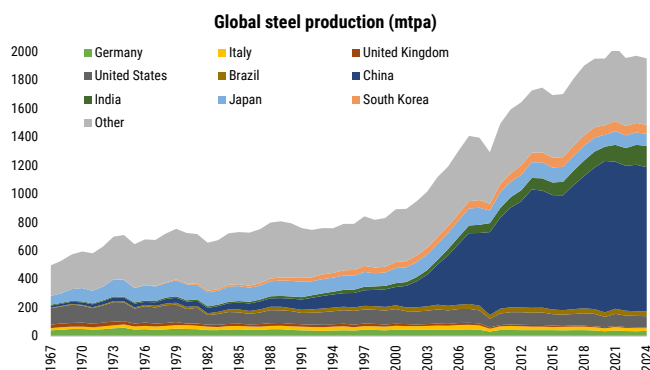
Steel

Cuts Already Underway. As per our [China Materials team](#), while never officially issued as a policy, a ~30mnt cut target was dispatched to steel mills in multiple provinces as of June. Moreover, the "Steel Industry Steady Growth Work Plan (2025-26)" [issued last week](#), officially mentioned implementation of steel production cuts. In 1H25, ~12mnt of production cuts had been realised according to NBS statistics (though this seems higher than third-party data indicate). Nonetheless, the top leadership's emphasis on anti-involution gives our China team more confidence on efforts to realise this production cut target by year-end. A production cut target is also likely to be set for next year, in-line with the fall in demand from both domestic and overseas markets. Longer term, MIIT had previously set a target for 80%+ steel capacity to reach ultra-low emissions by 2027 (vs. ~52% in Aug. 2024), which might be further emphasised and formulated in more detail in the coming new work plans for the steel industry, and should also gradually help phase out outdated capacity in the long term.

Rewiring the Supply Chain. China accounts for ~53% and ~48% of global steel production and consumption, respectively (2024 basis). The country has evolved from being a net steel importer in the early 2000s to exporting the equivalent of 12% of global steel demand (as of 2024). The surge in Chinese exports over the last 15 years has displaced production, causing a ~9% drop in utilisation rates in the rest of the world, amplifying pressure on global steel margins. A pullback in Chinese exports, underpinned by anti-involution policies, would support European steelmakers, as price pressure eases and utilisation rates recover from the current ~64%. This will come in combination with the continued tightening of European trade defence, including new safeguard measures and the introduction of CBAM (See: [Metals & Mining: 2H25 EU Policy Roadmap](#)). We

prefer to play this theme via voestalpine (OW) and ArcelorMittal (EW). See [Steel: Rewiring the Supply Chain](#) for our detailed analysis.

Exhibit 18: China's dominance in the global steel industry has peaked...



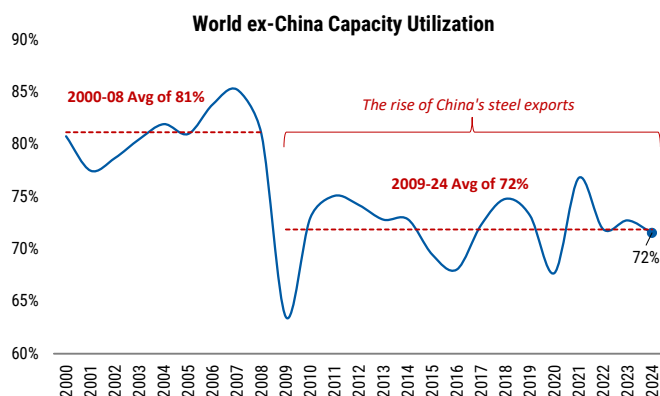
Source: World Steel Association, Morgan Stanley Research

Exhibit 19: ...and its mills are increasingly looking to exports to offset falling demand



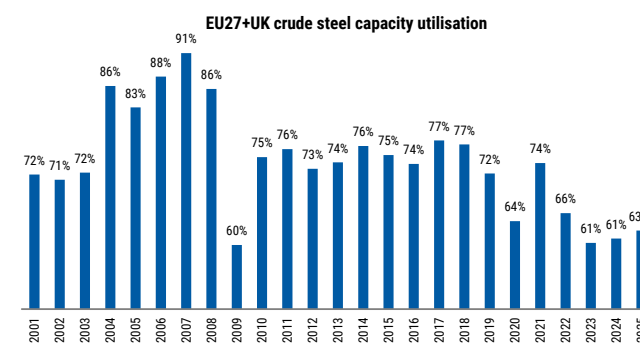
Source: World Steel Association, CEIC, Morgan Stanley Research

Exhibit 20: The surge in China's steel exports has displaced production elsewhere, driving a ~9% decline in utilisation rates over 2009-24 compared to the 2000-08 period



Source: World Steel Association, CRU, Morgan Stanley Research

Exhibit 21: Utilisation rates in Europe have declined to ~65% in the last 5 years



Source: World Steel Association, Morgan Stanley Research

Coal

China's National Energy Administration issued a notice on initiating coal overproduction checks in mid-July. The inspection will cover eight major coal producing provinces – Shanxi, Shaanxi, Inner Mongolia, Xinjiang, Anhui, Henan, Guizhou, and Ningxia. The main areas of investigation are: 1) whether 2024 and YTD 2025 production exceeded designed capacity by 10%; 2) whether coal companies have ordered the coal mines to produce more than the designed capacity; and 3) whether coal mines have set unreasonable targets relating to quarterly and monthly production. As coal was one of the major industries in the last round of supply-side reform, investors think this may imply the start of second round supply-side controls and lead to lower supply. However, we think the overall impact should be minor as >70% of the coal capacity in China is owned by SOEs, which all produce within designed capacities. If production does pull back, and coal prices start to recover from current lows, we see Glencore (OW) as a key beneficiary given its expansive coal portfolio with ~100mt of thermal coal output at 30-35mt of metallurgical coal production – both likely to be beneficiaries of any domestic supply curbs.

Metals & Mining Commodity Strategy

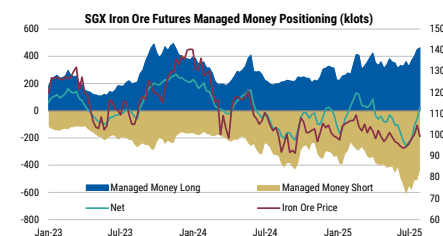
Amy Gower, Charlotte Firkins

For metals and mining commodities, steel cuts are likely to weigh on iron ore and met coal demand, although expectations for improved steel mill margins are supporting sentiment in both commodities for now. Coal supply reform has driven a strong rally in coal prices, although domestic demand remains soft. Lithium cuts are also being taken positively, while a broader infrastructure push should be supportive for the metals complex as a whole (as seen with the Yarlung Tsangpo River hydro project).

Iron Ore

Steel production falling: China is the biggest consumer of seaborne iron ore globally, meaning any change in steel policy can have an impact on demand. According to our [China Materials team](#), a ~30mnt cut target was dispatched to steel mills in multiple provinces as of June, while the [recently issued](#) "Steel Industry Steady Growth Work Plan (2025-26)", officially mentioned implementation of steel production cuts. Already, NBS data shows China steel production down 3.3% YTD, with around half of this cut already realised in 1H. China's steel production usually falls seasonally in 2H, meaning steel output will need to fall further to 78 mln tonnes/month (a 2% drop from July's output level) for the rest of the year to maintain the ~20 mln tonne cut achieved YTD, or fall to 76.5 mln tonnes (-4% from July) to achieve a 30 mln tonne (3% full year cut).

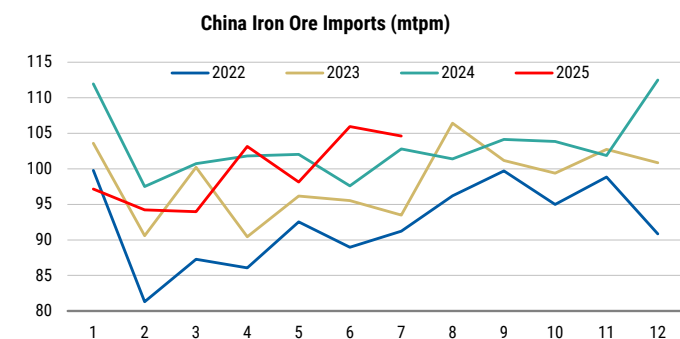
Exhibit 22: There has been substantial short covering in SGX iron ore



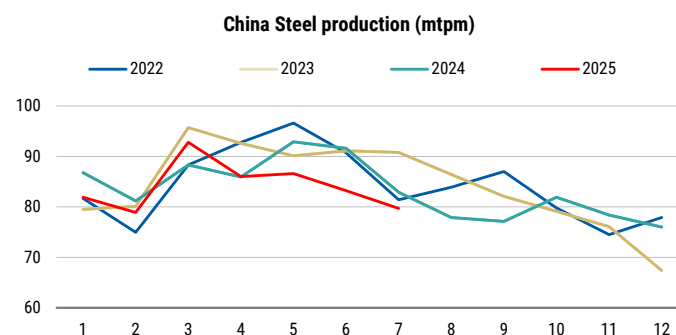
Source: SGX

So far, this is actually supporting iron ore: Iron ore has been trading above \$100/t since steel cuts were communicated to mills. This may be attributed to an expected improvement in steel mill margins, especially with steel exports remaining robust, allowing mills to pay more for iron ore and perhaps also buy higher quality grades. SGX positioning also indicates short covering from extreme short positioning ahead of the news, although this looks to be largely done by now, capping further upside.

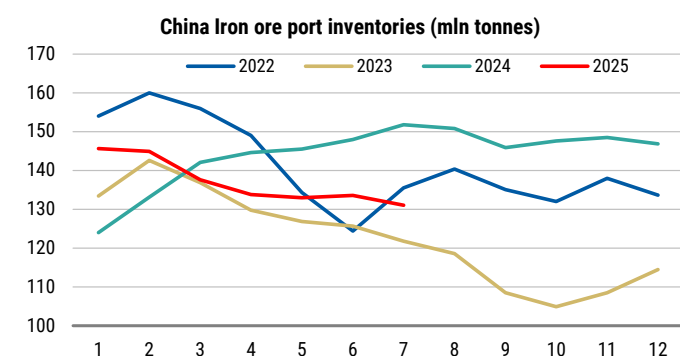
But iron ore port inventories may build through 2H: Iron ore shipments from the major producers are usually stronger in 2H, translating into stronger China imports, but if this is not absorbed by steel mills, it can lead to rising port inventories and weigh on pricing. Iron ore shipments from Australia, Brazil and South Africa have been mostly above the recent seasonal range since mid-March, suggesting good global iron ore supply. For now, iron ore port inventories are below 2024 and 2022 levels but we will continue to watch these as shipments remain robust.

Exhibit 23: China's iron ore imports have been rising...

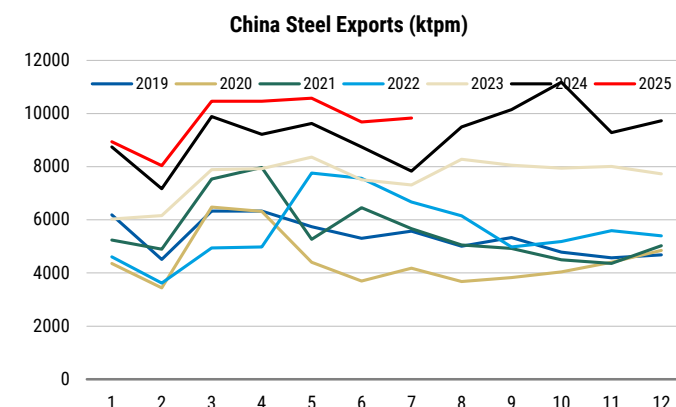
Source: China Customs

Exhibit 24: ...while steel output has been weak

Source: China NBS

Exhibit 25: So far, port inventories have not been building but this may change

Source: Bloomberg

Exhibit 26: Steel exports have been supporting steel output, despite weak domestic demand

Source: China Customs

Coal

Coal is one of the major industries that will be targeted by anti-involution, with the NEA issuing a notice on coal-overproduction checks, targeting the key coal producing regions. The main areas of investigation are: 1) whether 2024 and YTD 2025 production exceeded designed capacity by 10%; 2) whether coal companies have ordered the coal mines to produce more than the designed capacity; and 3) whether coal mines have set unreasonable targets relating to quarterly and monthly production.

Strong domestic coal output has been weighing on China's seaborne coal imports, with total coal imports down 13% YTD, and coking coal imports down 9%. As such, any reduction in coal production without a reduction in coal demand could boost seaborne coal requirements. However, with 70% of coal produced by SOEs, which usually produce within approved capacity ranges, we expect a large part of coal production to not be affected. Data from Mysteel corroborates this, indicating operation rates for both thermal and metallurgical coal mines have remained under 100% in 2025.

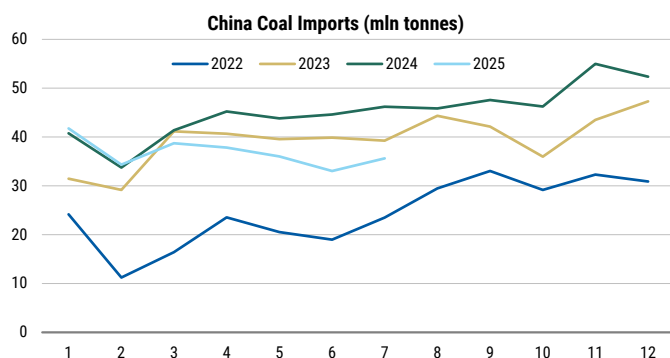
Nonetheless, expectation of supply discipline is already starting to provide support for coking coal prices both in China and ex-China (alongside steel production cuts, boosting margins and improving sentiment for coking coal). The Dalian coking coal price is up 68% from its June low, while the SGX Australia price is up 16% from late June. China's steel

reforms will also reduce dependence on coking coal, but the impact on prices will depend on whether the domestic coal supply cuts are more or less meaningful than the steel-driven demand reductions.

For thermal coal, news of these overproduction checks has helped push the China 5500 price up 11% since late June, on expectations that the domestic supply glut will ease. Any shortfall in domestic coal supplies would likely be met by increased imports of low-cal Indonesian coal in 2H 25, driving a 6% rise in Indonesia 5000 prices since late June. However, expectations of limited production cuts actually arising from the inspections and soft thermal coal demand are headwinds that may cap further rises in thermal coal prices. Coal power generation has been losing share in China's electricity mix to wind, solar and nuclear, with thermal electric power generation flat YoY in 1H25 but overall electricity demand up +3% YoY. To drive a sustained recovery in China's thermal coal prices, it is likely the demand side needs to also improve.

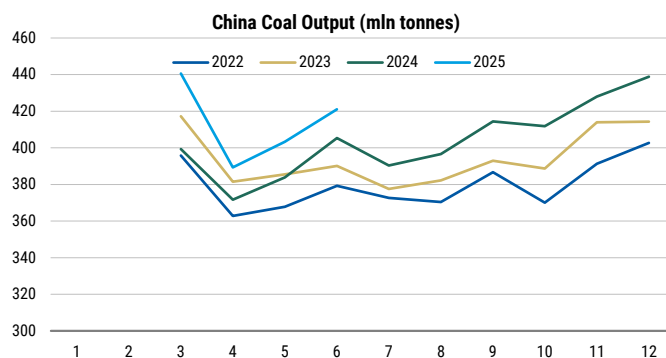
Additionally, the price support from these overproduction checks is mostly concentrated in low-cal thermal coal prices. The majority of European coal purchases are of high-cal thermal coals from Australia, Colombia and South Africa, which are not the preferred substitution candidate for lower China domestic coal supplies. Consequently, the market for high-cal thermal coals has seen more limited support from possible production curtailments in China, with ARA 6000 coal prices actually down 8% since late June.

Exhibit 27: China coal imports have been pressured by strong domestic output and weak demand



Source: China Customs

Exhibit 28: Domestic coal output has continued to rise



Source: China NBS

Lithium

Lithium is not captured directly by anti-involution but has seen some signs of supply discipline, with CATL suspending its [Jianxiawo lepidolite mine](#) after its license was not renewed, and more mines in Yichun being asked to submit reserve verification by the end of September which could bring further disruptions. We still see the lithium market in a modest surplus for 2025, which increases in 2026, but these disruptions narrow 2025's surplus against a backdrop of already very low lithium prices. The China lithium price has reached 81,500 CNY/mt, up 37% from the June low. However, if prices rebound too quickly, the likelihood of supply discipline elsewhere will fall, and may bring more oversupply challenges in the future.

End Use Demand

Other commodities may also be indirectly affected through end-use demand impacts. Solar energy and electric vehicles are the key categories here. In solar, our [China economists](#) note that the top 10 solar glass firms have agreed to cut output by 30% from July and polysilicon producers are coordinating to phase out outdated capacity. We had already expected solar demand for metals to slow after significant front loading in 1H ahead of new market-based power price tariffs for capacity installed after end-May, so this doesn't have a dramatic effect on top of what we were already forecasting. For EVs, the focus is more around price monitoring for now, while EV output remains strong.

Our [economists](#) also note that Beijing may step up its infrastructure push to partly offset weaker manufacturing capex, with "high quality" urban renewal highlighted at the July Politburo meeting. They also note the potential for accelerating more strategically important mega projects, like the Yarlung Tsangpo River hydropower project, which would be positive for metals demand, all else equal. They also see possible expansion of consumption subsidies, as well as consumption support via better social welfare provision – this could support base metals demand in key sectors like consumer appliances.

Energy

Martijn Rats, Guilherme Levy, Charlotte Firkins, Alice Winograd

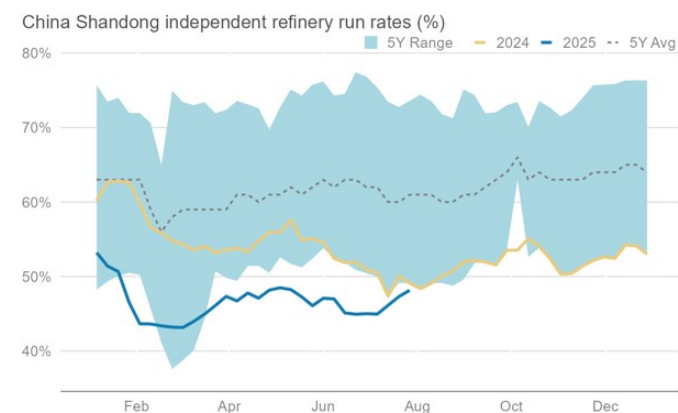
China's anti-involution policies could be a long-term tailwind to the refining sector ...

Our China oil analysts estimate that the recently announced anti-involution measures, coupled with environmental/taxation regulations tightening ahead, could eliminate ~3 mb/d of teapot refiner capacity (16% of China's total) from the market over the coming years. Needless to say, that could drive upside to utilisation rates and margins at the remaining refineries in the country.

We note however that China's ambition to close down smaller and less competitive refineries is not an entirely new development. In 2021 a goal to keep refining capacity limited to 1bn tonnes per year (20 mb/d) from 2025 was introduced, meaning new capacity additions must be offset by closure of less efficient units, like the teapots. IIR data indicates 540 kb/d of new refinery capacity is coming online in China in 2025 and at least another 920 kb/d of capacity expected by 2030, which will replace closed teapot refinery capacity. Additionally, the challenging environment China's teapot refineries are currently facing, due to a mix of weak domestic demand and high feedstock costs, has meant average utilisation rates in the sector are <50%. Consequently, the effective capacity reduction on shutting a teapot refinery is lower than the headline capacity figure would suggest.

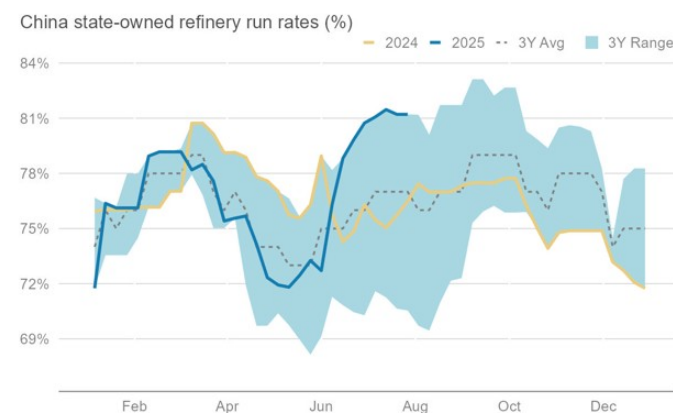
Our team has addressed this theme recently in our latest [China Oil Data Summary](#) and in [China Anti-involution: Implications for Global Energy and Chemicals](#).

Exhibit 29: China's teapot refineries have run recently between 45-50% of total capacity ...



Source: Oilchem, Morgan Stanley Research

Exhibit 30: ... and much less efficiently than the SOE sector, at 70-80%



Source: Oilchem, Morgan Stanley Research

... and add to our positive thesis for Repsol shares. Relative to other European integrated Energy companies, Repsol is particularly leveraged to two macro commodity themes, for which we have a positive view: refining margins and US natural gas prices.

On the latter, our US team expects Henry Hub prices to move higher as we approach the winter season (see [A Softer Summer, But Tightness Still Ahead](#)).

On refining, we have seen higher margins in recent months. That has been driven by a combination of: 1) low diesel inventories; 2) implementation of Emission Control Area regulations in the Mediterranean in May, which has boosted low-sulphur diesel demand; 3) potential seasonal risks to supply (such as any disruptions generated by heatwaves and the hurricane season in the US); and 4) the latest EU embargo on Russian oil coming into effect early next year. The impact from China's anti-involution measures will likely have a more long-term profile, but contribute nonetheless to the positive view on the refining segment.

Chemicals

Thomas Wrigglesworth, Lisa De Neve

Anti-involution represents a positive tail risk for now; to have a meaningful impact will require stronger than announced measures. Thus far, the Chinese authorities have announced a phased programme for chemicals capacity that is focused on potential closure of plants over 30 years old and the potential to refurbish plants that are over 20 years old. This is illustrated below in pathways 1 and 2. However, it is important to note that China's chemical capacity has been largely built in two waves, the first starting in 2010 with additions coming through in 2014-16 and the second wave coming through in 2020-24. China has represented 80% to 100% of the global capacity additions of the past 10 years across many of the chains, noting that PE has seen substantial US and ME additions. Further there are substantial additions in train, most notably in the ethylene chain. The stocks we think are most likely to be part of the anti-involution debate are Solvay, Arkema, BASF and Evonik.

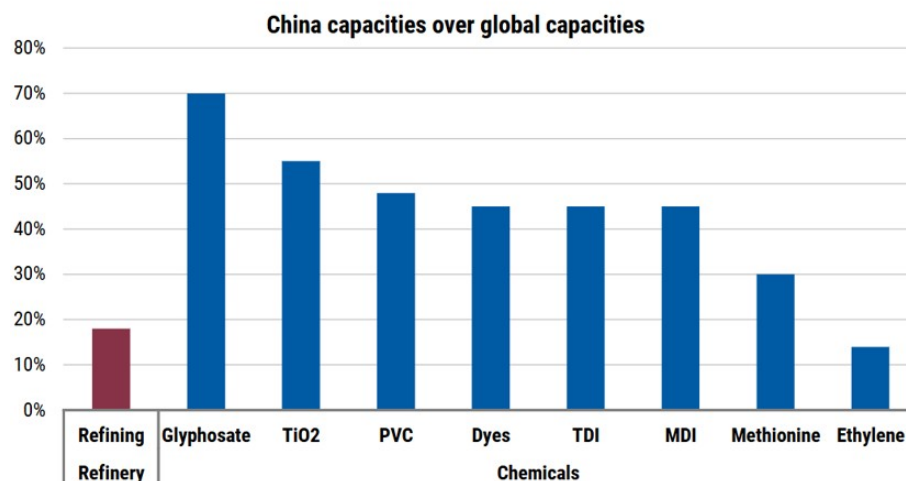
Exhibit 31: Our thoughts on potential pathways

		%of China's existing capacity affected		Effectiveness		Who benefits		Who suffers	
		Refining	Chemicals	Refining	Chemicals	Refining	Chemicals	Refining	Chemicals
Pathway 1	Force old capacity to close (Capacity > 20 years old)	25%	14%	Very effective	Effective	SOEs and mega-independents	Private chems	Teapot refineries	SOEs
Pathway 2	Force old capacity to upgrade (Capacity > 20 years old)	25%	14%	Very effective	Mild	SOEs and mega-independents	Private chems	Teapot refineries	SOEs
Pathway 3	Prohibit new capacity additions	N/A	N/A	Mild	Very effective	Every existing player	Every existing player	New entrants	SOEs and other new entrants

Source: SCl, Company data, Morgan Stanley research estimates. Note: Chemicals capacities measured using ethylene; exposure differs for each product.

The basis for optimism is constrained. The closure of old capacity is more than likely to be offset by the new additions as Kaylee Xu, our China Chemicals analyst, [has noted](#). The plan that central authorities will need to approve any new projects overlooks the capacity that is under construction and scheduled for the coming years. The economics are not supportive of bringing this capacity to market and completion and ramp-ups will likely be allowed to drift; historically we have observed delays of 30-70% of planned capacity ramp-ups in any given year. This is markedly different from a government intervention. As best we know there has been no communication to those bringing on capacity additions, implying that the impact will land untrammelled by any closure policies. Notably BASF is set to ramp up its new Zhanjiang facility in 2H25 and through early '26.

Exhibit 32: China potential anti-involution impact on global refining and chemical products



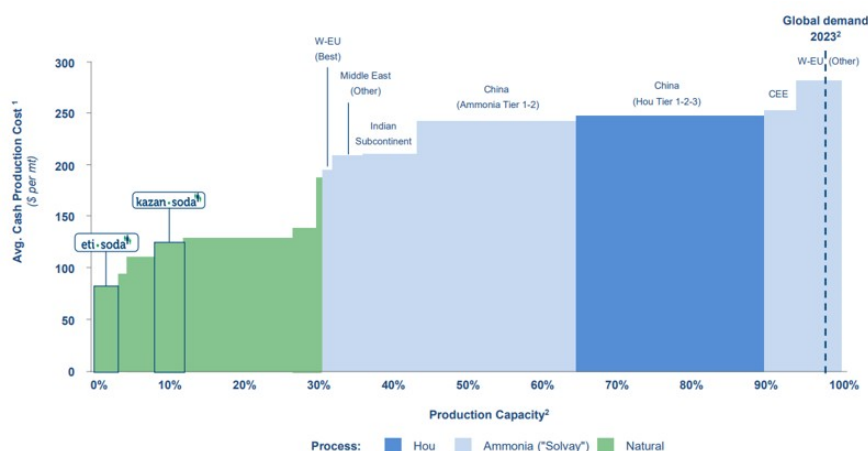
Source: Company data, Morgan Stanley research estimates

Government involvement in solar started ahead of the "anti-involution" discussion -

The over-supply in the solar industry has driven most, if not all producers, to negative gross profit. Consequently, the government has already stepped to try to drive co-ordinated pricing, which so far has seen prices increase from \$4.4/kg to c\$5/kg, a modest improvement noting that the '20 cycle low saw prices at \$6.2/kg. More recently, [Reuters reported](#) that Chinese producers of polysilicon were in talks to create a \$7bn fund to acquire and shut down capacity, according to GCL Technology Holdings. Whether this comes to fruition remains unclear. The implications could see lower Chinese exports but fundamentally, we would expect Chinese prices to reflect the cost curve, at best, which would still imply a price below a level that would be attractive to Wacker, given its cost-base. Only with a supply-demand imbalance (too little supply).

Soda ash another potential beneficiary - China is c29% of the '24 level of production of global soda ash used in the production of glass and as a bulk alkali (washing powders and chemical processes). The nation exports c2.7Mtpa, approximately 15% of the global seaborne trade, largely to SEAsia. Of the c40Mtpa domestic capacity, 46.6% is produced via the Hou process. The percent of this capacity that is over 20yrs old is hard to discern at this point, however given the process was invented in China in the 1930s there is basis to assert that some capacity is likely to be outdated, albeit there have been new additions. Capacity closures could impact export capacity and thereby tighten the global market. Whether this would impact US and European markets is debatable as the contractual nature of US/European soda ash is indicative of a market that likes long-supply agreements.

Exhibit 33: Illustrative cost curve highlights that China Hou-process costs are toward the high-end of the cost curve



Source: WE Soda Company Presentation, Dec '23

Feedback/pushback - The general sentiment among investors is that the China supply juggernaut will not be quickly stopped and that it will continue to weigh on the global outlook. Not least because the supply added since '20 has outstripped demand by c2%p.a., implying c8% capacity overhang for co-products (chemical chains ex-Polyethylene). Further, those who have covered other materials such as steel and cement can recall the capacity closures in the 2012-18 period, whereby the NDRC announced capacity closures but of capacity that was unproductive but still licenced. Accordingly, there was no impact on supply.

Those with more bullish leanings would suggest that there is nothing in the price for anti-involution policies having any impact. Certainly the environment-led shutdowns in 2017 and 2018 had a significant impact on the chemicals industry's production capacity as producers were encouraged to move to chemical parks to ensure proper waste retreatment. Then, like now, any impact to supply could carry material positives for pricing of industry chemicals but consequently carry a burden for those more downstream, such as Akzo Nobel. For now, though we need to see final policy and how it might enforced but our first take is that any impact will be muted.

Autos

Javier Martinez, Shaqael Kirunda, Cindy Huang

Autos are a key involution battleground. China's auto industry (especially within the electric vehicle segment) has been engulfed in aggressive price competition since 2022. The price cuts, as well as new product launches from local Chinese OEMs, have quickly reduced market share of legacy OEMs such as VW and Porsche. As a result local player market shares have grown from c. 30% in 2020 to c. 70% in 2024. Despite going on for years now, the price war continues, with BYD, the nation's leading EV maker, recently triggering a wave of markdowns, slashing prices across 22 models by up to 34%, including deep discounts on the sub-80,000 yuan tier vehicles like the Seagull EV. This catalyzed further widespread price cutting. Since then, regulators and industry bodies have started to push back on escalating price wars.

There are no winners in a price war. The Ministry of Industry and Information Technology (MIIT) has warned that "there are no winners in a price war, nor is there any future." Measures include stricter oversight, random product inspections, subsidies cuts, and efforts to curb below-cost selling. The China Association of Automobile Manufacturers (CAAM) has further launched an industry pledge against involution-style practices, with OEMs urged to uphold fair competition and avoid destructive pricing tactics. The State Council, MIIT, National Development and Reform Commission, and other bodies have convened repeatedly to coordinate regulatory responses to involution, signaling that the issue has reached a policy red line. Multiple OEMs have responded by agreeing to longer supplier payment terms and pledging to stop undercutting each other's prices.

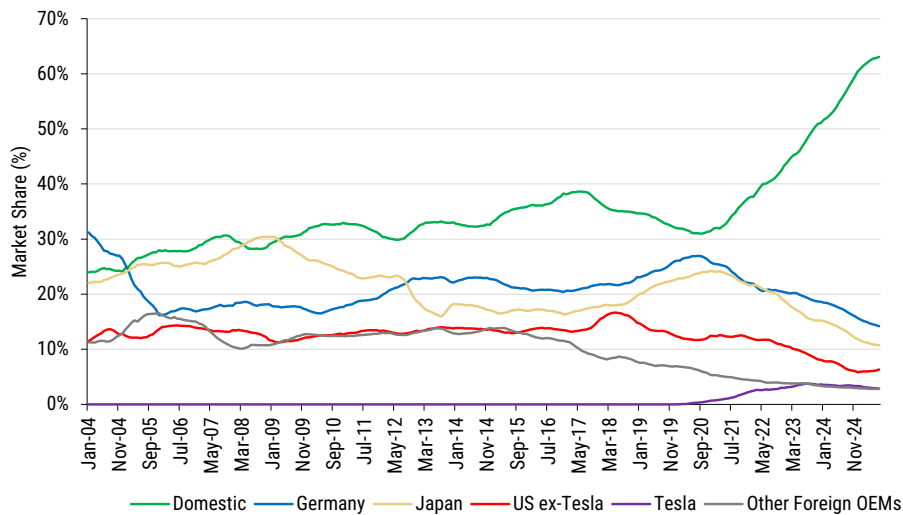
Positive initial signs from new government measures. Chinese regulators are taking aim at auto financing practices that effectively fuel vehicle price undercuts. In June 2025, several regional banks, including China Everbright Bank, Henan Rural Commercial Bank, and Bank of Communications in Henan announced they would stop offering high commissions to car dealers for arranging loans. These commissions were previously used by dealers to subsidise vehicle discounts. The banks also stated that dealers should not require buyers to take loans as a condition for purchase, and auto loan interest rates should be capped at 6%. Our discussions with legacy OEMs in China indicate that these new policies are already having a positive impact.

Policy changes may have limited impact. Whilst new government policies may prohibit Auto OEMs from aggressively cutting prices, there may be other measures players use to effectively spur demand at a lower cost to the consumer. OEMs may for example introduce new models, with significantly better driving range, and ADAS features at the same price as the predecessor models. The overcapacity in the Chinese auto ecosystem means that players continue to search for growth, under the assumption that they can survive periods of weak (or no) profitability longer than their smaller peers.

German OEMs would be key beneficiaries of an anti-involution movement. Should the new anti-involution policies indeed prove to be successful, then the German OEMs are key beneficiaries. Today most of the price war is considered to take place in the sub-200k RMB (EUR24k) level. Amongst the German OEMs, Volkswagen has the lowest ASP and as such is closest to the price war. Therefore it may theoretically benefit the most from a

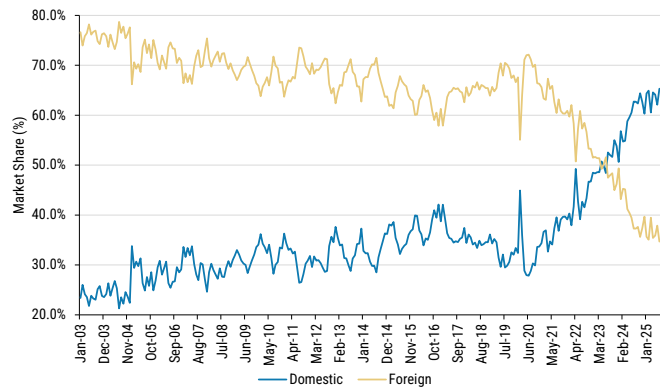
halt in continuous price cuts. However, investors' expectations for Volkswagen are already low given its China market share losses over the past five years and the rest of European OEMs have also been losing share in China, including BMW, Mercedes and Porsche, see exhibits below.

Exhibit 34: China market share by origin of OEMs



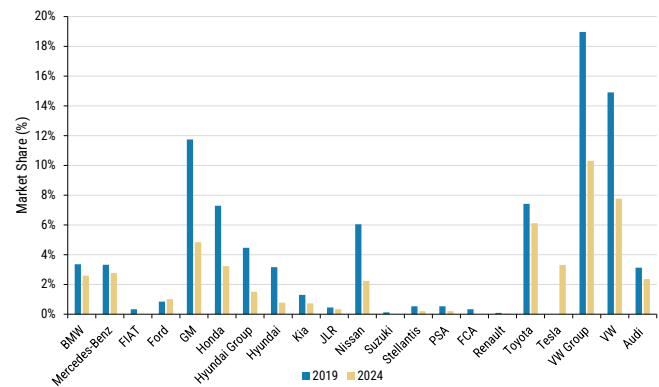
Source: CPCA, Yiche, Morgan Stanley Research

Exhibit 35: China market share by origin of OEMs

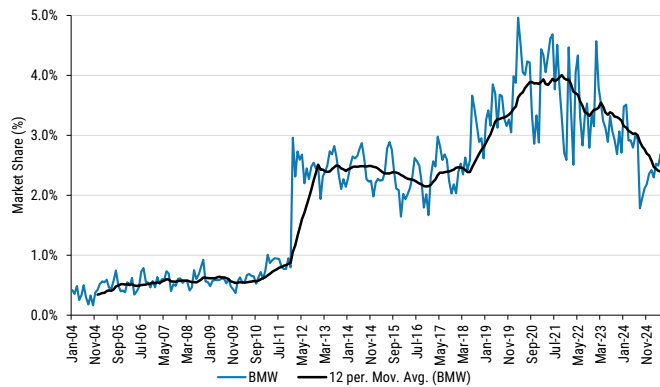


Source: CPCA, Yiche, Morgan Stanley Research

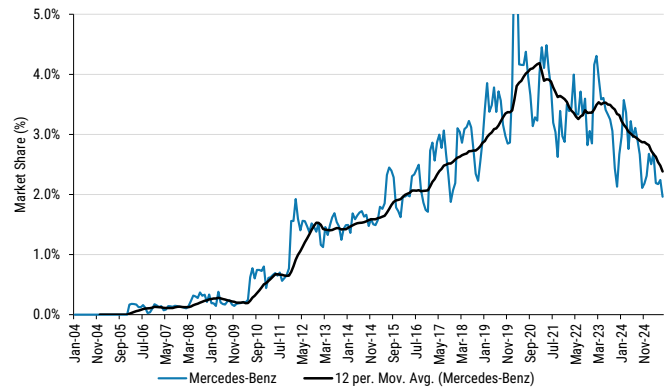
Exhibit 36: China market share evolution by brands



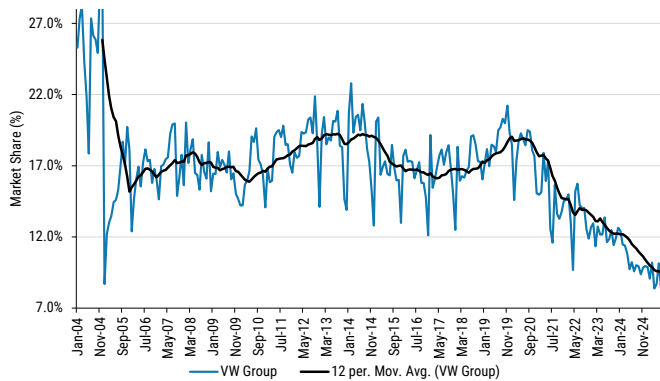
Source: CPCA, Yiche, Morgan Stanley Research

Exhibit 37: BMW China market share (%)

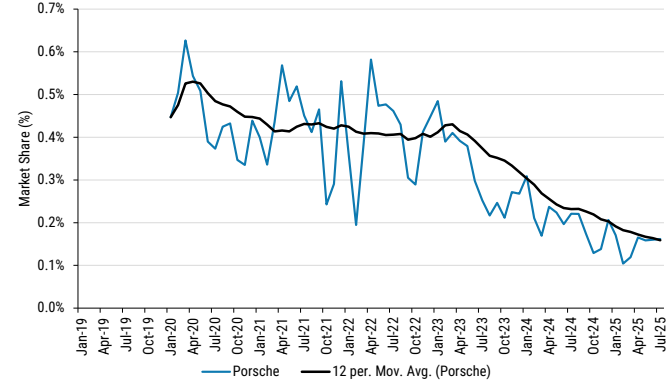
Source: CPCA, Yiche, Morgan Stanley Research.

Exhibit 38: Mercedes China market share (%)

Source: CPCA, Yiche, Morgan Stanley Research.

Exhibit 39: VW China market share (%)

Source: CPCA, Yiche, Morgan Stanley Research

Exhibit 40: Porsche China market share (%)

Source: CPCA, Yiche, Morgan Stanley Research

Cap Goods

Max Yates, Clare Liu, Sara Chemello

Background. Since 2004, China has increased its share of global manufacturing by 22%, at the cost of Europe and the US. Historically, European Cap Goods companies have been relative beneficiaries of the build-out of China manufacturing capacity in a number of Chinese industries (EVs, Solar, Battery). Many of our companies (Siemens, Schneider, Atlas) moved quickly to build out 'local for local' Chinese businesses in their operations. In terms of headcount, Atlas Copco has more employees in China than any other single country, and China accounted for 19% of Atlas's group revenues in 2024. It was 10% of Siemens group revenues in 2024, but we estimate 25% of the Siemens Digital Industries division revenues.

Conclusions for the Cap Goods sector and for companies: (1) While there remains a lack of clarity on specific policies around China anti-involution, it is clear that any downward pressure on China capex spending would be a negative for the European Capital Goods sector. For most Industrial (non-construction) exposed names, China typically accounts for 7-19% of group revenues. (2) When we look at status quo capex forecasts, this rationalization in battery and auto is not yet happening, but we are seeing capex cuts in solar ([Exhibit 44](#)). Demand for Automation products is back to growth in Battery and Auto, despite overcapacity in these industries ([Exhibit 42](#)). (3) We think there are risks for equipment sellers into Chemicals, Refining, Automotive and Battery. When we look at the split of the China Automation market, we think that 46% of the market has a relatively higher risk of being influenced by anti-involution policies. (4) When we overlay end market exposure, we view Atlas Copco (Compressors, Industrial Technique), Siemens (Digital Industries), and Alfa Laval as facing potential risks if anti-involution policies continue to gather pace.

What are the Cap Goods exposures to China? We show these in [Exhibit 43](#). It is not as simple as looking at pure percentage share of revenues. Clearly, this is less relevant for construction markets (i.e. Kone), though persistent China weakness through 2025-26 is one of the legs of our Underweight thesis on the stock ([LINK](#)). This is really more about industrial exposure. We would highlight China Industrial activity as a relatively important driver for **Atlas Copco (EW) and Siemens' (OW) Digital Industries** division.

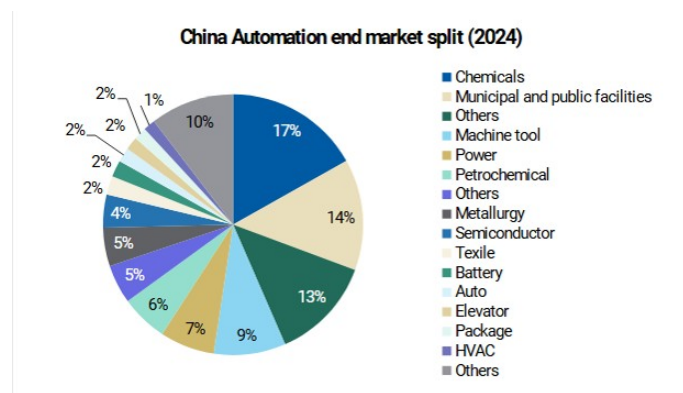
Cap Goods End market exposures in China – Battery and EV investments have been important drivers of China Industrial demand for our companies. It is difficult to know the exact China end market exposures in each Cap Goods company. But, for those that remember the 1Q23 blow-out positive Atlas Compressor orders, the Atlas CEO mentioned at the time: "So battery is one of the key applications, and of course, we see that growing very quickly around the world, and China is the leader." Battery for Atlas Compressors, and China Autos (EV) has been an important driver for Atlas Industrial Technique. Similarly, Siemens highlighted on their 2Q22 conference call: "the battery manufacturing is one of the verticals growing tremendously fast, billions (\$) running in there." We see in [Exhibit 45](#) that these investments have left the China Battery industry severely over-supplied. When we look at the capex of some of the leading companies in the 'oversupplied' industries like Auto (BYD), Battery (CATL) and Solar (Tongwei), it is clear from the chart in [Exhibit 44](#) that it is only the solar market that appears to be self regulating its capex to

reduce the over-capacity.

The China Automation market. In [Exhibit 41](#), we show the end market split of the China Automation market from the MIR data. Here we would note that there are sizable industries that may be impacted from the China anti-involution push. These include Chemicals (17%), Municipal and Public Facilities (14%), Petrochemicals (6%), Metallurgy (5%), Battery (2%), and Auto (2%). All in, this is approximately half of the China Automation market. Conversely, despite the clear over-capacity in markets like China EVs and Battery, we can see from the most recent MIR data in [Exhibit 42](#) that Automation demand from these industries has actually returned to growth. On the one hand it is easy to put this down to a destock ending, and demand normalizing, but in reality we are seeing Chinese companies' capex (e.g. BYD and CATL) remaining resilient ([Exhibit 46](#)), despite challenges with over-capacity. What remains to be seen is the extent to which central government policy around anti-involution is able to influence industries that are dominated by private companies.

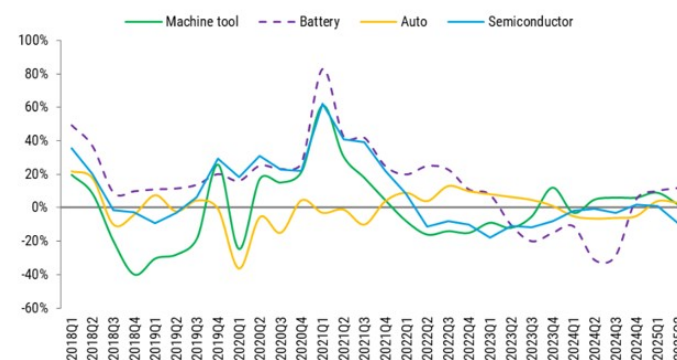
For more details see our notes on the China Automation market ([LINK](#)), and on what China Anti-Involution means for EU Cap Goods ([LINK](#)).

Exhibit 41: China Automation sales by end market (2024) (MIR data). We think there are sizable 'Automation' markets that may be impacted by China Anti-involution potential policies. These include Chemicals, Municipal and public facilities, Petrochem, Metallurgy, Battery and Auto. In total, we see 46% of annual China automation sales that are at higher risk of being impacted.



Source: MIR, Morgan Stanley Research

Exhibit 42: YOY growth for China automation products by end market. Automation end market demand into Auto and Battery was negative in 2H23 and 2024, but has turned positive in 2025. This is partially linked to de-stocking ending and a normalization. However, these industries also continue to suffer from over-capacity, which makes the future growth path uncertain. The anti-involution focus raises risk of these growth rates fading into 2026.



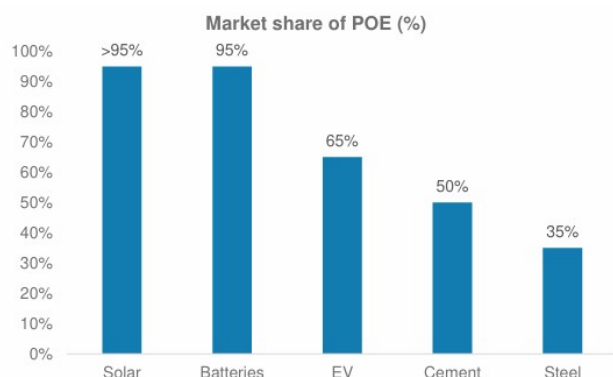
Source: MIR, Morgan Stanley Research

Exhibit 43: Cap Goods Exposure to China. Cap Goods Industrial (not construction) exposed names have 7-19% of group revenues derived from China.



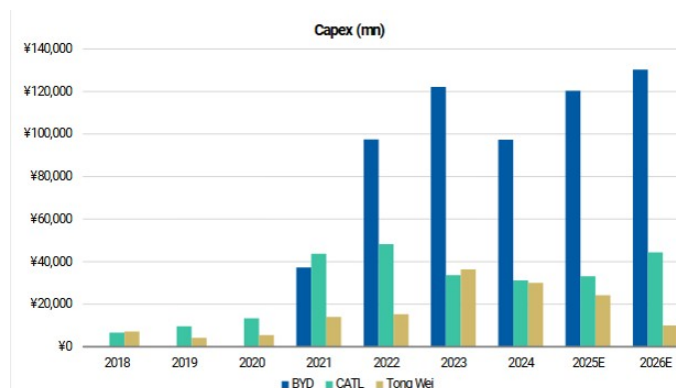
Source: Company Data, Morgan Stanley Research

Exhibit 45: Market share of privately owned enterprises in China by industry. MS Chief China Economist, Robin Xing, highlights that it is will be easier for supply side consolidation / rationalization in Industries that have a lower share of privately owned enterprises (or a higher share of state owned enterprises). This would imply Cement and Steel may be relatively easier to curtail the supply side.



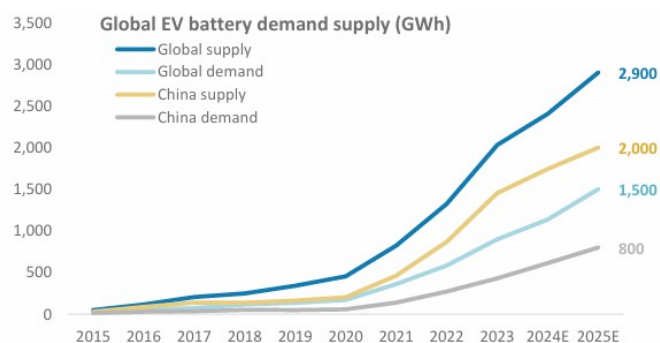
Source: Morgan Stanley Research estimates

Exhibit 44: Annual capex (RMB mn) for BYD (Auto), CATL (battery), Tongwei (Solar). Despite over-capacity in the EV and the Battery markets, capex for the key China suppliers is forecast to grow in both 2025 and 2026. Tongwei is the only one of the three where capex is forecast to fall, and solar is another industry that remains clearly over-supplied.



Source: Company Data, Morgan Stanley Research

Exhibit 46: Global EV battery demand supply. The recent push in China capex has left China supply exceeding the total global demand. In 2023, we heard companies like Atlas Copco (Compressors) and Siemens (Digital Industries) highlight the China and US battery build-out as an important driver of order growth at the time.



Source: Morgan Stanley China Energy and Chemicals Research

Utilities

Arthur Sitbon, Marina Fuentes Juan

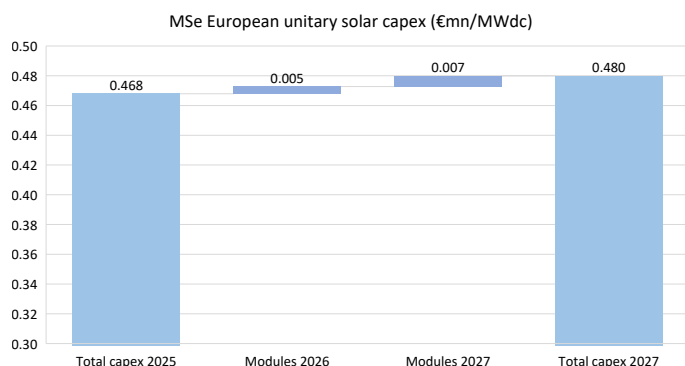
With Europe relying significantly on China for its solar supply chain, we look at the potential impact from China's anti-involution policies on the European renewables industry.

China's anti-involution policies should lead to a modest increase in European solar unitary capex levels. We provide a sensitivity analysis of the potential implications on European unitary solar capex levels based on our China Utilities team's latest estimates for module prices evolution in the context of anti-involution policies. Our analysis indicates that, all else equal, unitary solar capex could experience a modest increase from €0.47mn/MWdc to €0.48mn/MWdc by 2027, i.e. a ~3% increase (see [Exhibit 47](#)).

Expect a limited impact on solar project economics in Europe. We calculate that the modest increase in unitary solar capex levels in Europe triggered by China's anti-involution policies by 2027 would require only a ~€1/MWh increase in contracted PPA prices on new solar projects (all else kept equal) to maintain a 200bps IRR-WACC spread on these new projects. We believe this small increase should not be a significant concern for the industry and believe the market should be able to absorb the price increases in line with what happened in the past when unitary capex levels increased (see [Exhibit 48](#)), especially given solar projects remain cost competitive in Europe (see [Exhibit 49](#)). We think the main risks will be for solar project developers that operate in regions where it is difficult to sign new stand-alone solar PPAs because of high solar price cannibalisation (typically in Spain) and where higher unitary capex levels could thus lead to direct IRR-WACC spread contraction.

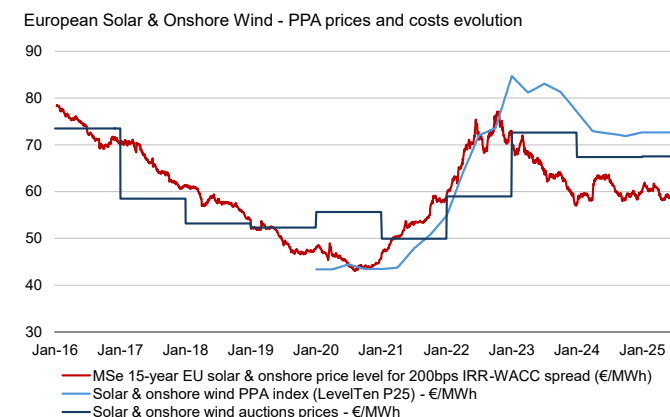
We thus see China's anti-involution policies as neutral for European utilities overall and potentially as a small unhelpful development for Solaria's future solar projects in Spain.

Exhibit 47: We estimate that China's anti-involution policies should lead to a modest increase in unitary capex levels for European solar



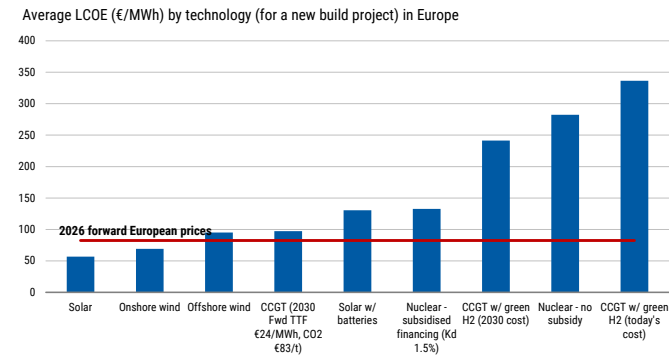
Source: Morgan Stanley Research estimates

Exhibit 48: We think a €1/MWh increase in PPA prices would be needed to keep IRR-WACC spreads stable despite this module price increase. We are confident this can be passed through to customers and not harm project economics...



Source: Morgan Stanley Research estimates, LevelTen

Exhibit 49: ...especially given the relative cost of solar projects vs power prices in Europe (although with a risk in regions with high solar price cannibalisation)



Source: Morgan Stanley Research estimates, PXE

Company Quotes Relating to 'China Anti-Involution' During Earnings Season

Matthew Nguyen, Marina Zavolock, Regiane Yamanari

We share a selection of quotes relating to the 'Made for Germany' initiative from recent corporate earnings transcripts below.

BASF

Q: 'You are obviously adding capacity in China through the new Verbund. And at the same time, we've started to see the Chinese make statements around what they call anti-involution. I was intrigued to understand whether you'd received any insight on this policy and what they're trying to get at in terms of oversupply in the chemicals industry.'

A (Markus Kamieth): '...for a long period of time, the sense was that the Chinese government and authorities are sort of dodging the discussion around overcapacities and buildup of, let's say, yeah, unhealthy capacities in many of the industries. I think if you now see in the run-up of the new – the 15th five-year plan, which will be put in effect in March next year, you see now **first signs of intentions to work on supply side reforms**.

And as you said also, address this what they call involution or rat race or however you want to call it. And I personally think that this will also have an effect on the chemical industry, because I was in China a few weeks ago, and I think I got some good – we had some good conversations around bringing two of the big intentions together. On the one hand side, the supply chain – the supply side reforms addressing overcapacities and the low profitability of many chemical companies in China, especially small and medium ones. But also, on the other hand, the green transformation and achieving carbon peak in 2030.

And our intention is to pitch for addressing both things at the same time. And I think this will happen now over the next years. You will see capacity adaptations also in the chemical industry, also addressing assets with high energy efficiency, subscale and high emissions in China. So, I think supply side reforms are becoming more popular. You will probably not hear the word overcapacities a lot, but this will be communicated differently. **But we have positive expectations and that will lead to this picture that we always say, a rebalancing of chemical value chains, chemical market by the end of the decade in China.** So, the last weeks have been rather positive in this aspect.'

Wacker Chemie

Q: 'I was just wondering if you think that the reported plans to close down underutilized Chinese polysilicon capacity, if that's actually likely to take place and if the mechanism that's been proposed, whether that mechanism could actually work? And say this does go ahead, where do you think prices in China could go? And could that really be enough to bring those prices up to the much, much higher ex-China price that you currently transact at? And then the kind of follow-on from that is, does this China supply side reform actually matter for you at all?'

A (Joerg Hoffmann): '...but nevertheless, I think it's the right move. And also what I hear

since the beginning already of the year is that the Chinese government is very much keen and interested in doing something on it. I think it is seen as a challenge. And whether you call it anti-involution, which is a difficult word, some call it the rat race or some call it cutthroat competition, **I think every measure that reduces is positive. Will this first step, this announcement lead to similar prices to the outside China index? I'm not so sure about that, especially in the short term. And is it beneficial for us? I mean, today, we don't really sell much volumes to China, but I think it would have an indirect effect, which is positive increasing price levels of polysilicon for solar.'**

Solvay

A (Philippe Kehren): '...I think we're **comforted by also the latest announcements made by the Chinese government in what they call the anti-involution law**, where they're looking at assets that are more than 20-years-old; and if they are more than 20-years-old, they need to check if they can be upgraded or otherwise they will be shut down. And I think that was also a reference to more than 30-year-old assets that would most probably be shut down. So that represents a significant portion of the soda ash assets in China. So this could be the start of the process that we expected. But let's see. I mean, **this is obviously something that will not happen overnight either.'**

Covestro

Q: '...any comments on the policy in China, this anti-involution policy, and what impact and the timing all it might have on the chemical industry as a whole.'

A (Markus Steilemann): '**So the anti-involution policy, we currently do not see any direct effects on our businesses for the time being**, to be very clear.'

Clariant

Q: 'would you be able to give us some insights on what has been happening on the ground there and whether or not you're having discussions with customers around the anti-involution policy, any thoughts here would really be appreciated.'

A (Conrad Keijzer): 'On China, yeah, this is an interesting policy which is happening and **it is actually going to be a net positive for us**. So, the Chinese government is not happy with these sorts of excess levels of competition locally in some segments, including in chemicals, where there is an overcapacity – actually a significant overcapacity, particularly in petrochemicals and basic chemicals. So, basically, the idea is that facilities that are not efficient, that are aged, let's say, 20 or 30 years, that they should actually close down at some point in time. Now, this is impacting our businesses in different ways. So, if you look at it in terms of our business, Catalysts, who's very much sort of linked to the chemical industry in China. **On PDH, we're not going to see such a big impact here because these are fairly new plants. But if you look at other segments like polypropylene or ethylene or ammonia or methanol, there are definitely a lot of older plants out there around. And that actually means that some of these would be targeted for closure. Now, that is going to negatively impact our refill business, but positively impact our first-fill business**. So, on balance, for us, it's more sort of a shift towards newer plants, which in the end always is good because we tend to be more represented in the premium segment.'

LyondellBasell

A (Peter Vanacker): 'We expect that it [China anti-involution] will take some time to get more visibility and real actions taken, something we've also witnessed in several chemical sectors in China in the past. But we do expect that it will lead to real actions since the majority of petchem assets all are losing cash in China. Of course, I mean and as you can see from our actions we don't speculate on what is going to happen.'

Shell

Q: 'There seems to be, at least from my esteemed colleagues here in our Chemicals team, somewhat – some enthusiasm about anti-involution in China. [...] And, therefore, I was wondering if you had any perspective of whether that can perhaps at some point bring a bit of solace to the Chemicals earnings.'

A (Wael Sawan): 'Indeed, I mean, we pick up the same. But at the end of the day, what we can control is our own reality. And, what we find at the moment is **there's been a discussion on this for quite a few quarters now. It hasn't materialized.** And this is why we needed to escalate our own interventions to the next level of – to the next level of levers that we have. Clearly, if there is a move in that space, it would impact the Chemicals market and the Chemicals margins just given the scale of production coming out of China at the moment. And so, **we will watch that with interest but I'm not in a position to speculate,** of course, on where it might go.'

Glencore

A (Gary Nagle): '**We've seen some – the anti-involution initiative coming out of China, which is effectively cutting out some of the loss-making production, which has been positive.** We've also seen for the first time a step down in the growth rate of steel exports out of China. And what we've always said is that the steel exports out of China has been really the overhang in the steelmaking coal market, because that's being produced by domestic coking coal and Mongolian coking coal. So those exports are a proxy for Chinese met coal exports. So as we've seen this step down in the growth rates in June and we're waiting for the July stats to come through, but we expect that to continue dropping. That should then start helping bring the steelmaking coal market into balance.'

Schaeffler

Q: 'There's a lot of discussion in the market around supply side reforms in China under this new tagline anti-involution. Just be curious if you see any evidence in wind of deflation coming to an end.'

A (Klaus Rosenfeld): '...in terms of wind, yes, we have seen a nearly an order rush in the wind business in Greater China. Prices were super competitive for quite some time, but it's also obvious to us that if you are local, if you stay the course, if you compete with that, with the Chinese players, there is a decent chance for German quality. And I think that's what we are benefiting from at the moment. For sure not at the same margin level some years ago, but still at decent levels that help us to compensate other negative impacts.'

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Underweight/Sell	581	16%	86	10%	15%	234	14%
Total	3,701		847			1712	

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